23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and six months ended June 30, 2019 and 2018 are calculated as follows:

(1) Ordinary shares

(In millions of Korean won and thousands of number of shares)	June 30, 2019		June 30, 2018	
	3 Months	6 Months	3 Months	6 Months
Profit for the period attributable to owners of the Parent company	₩ 5,064,530	₩ 10,172,020	₩ 10,981,547	₩ 22,593,380
Profit for the period available for ordinary shares	4,450,996	8,939,748	9,651,206	19,856,343
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783	5,969,783	5,971,125
Basic earnings per ordinary share (*in Korean won*)	₩ 746	₩ 1,497	₩ 1,617	₩ 3,325

(2) Preference shares

(In millions of Korean won and thousands of number of shares)	June 30, 2019		June 30, 2018	
	3 Months	6 Months	3 Months	6 Months
Profit for the period attributable to owners of the Parent company	₩ 5,064,530	₩ 10,172,020	₩ 10,981,547	₩ 22,593,380
Profit for the period available for preference shares	613,534	1,232,273	1,330,341	2,737,037
Weighted-average number of preference shares outstanding	822,887	822,887	822,887	823,199
Basic earnings per preference share (*in Korean won*)	₩ 746	₩ 1,497	₩ 1,617	₩ 3,325

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the six months ended June 30, 2019 and 2018.

24. Cash Flows

(A) Adjustments and changes in assets and liabilities arising from operating activities for the six months ended June 30, 2019 and 2018 are as follows:

(1) Adjustments

(In millions of Korean won)	**2019**	**2018**
Adjustments for:		
Income tax expense	₩ 3,868,181	₩ 8,850,787
Financial income	(2,267,491)	(2,943,011)
Financial expenses	1,357,477	2,195,581
Post-employment benefits	553,953	468,167
Depreciation	13,481,068	12,087,806
Amortization	505,176	678,061
Bad debt expenses (reversal)	42,026	(42,734)
Dividend income	(84,643)	(74,964)
Share of profit of associates and joint ventures	(142,173)	(170,671)
Gain on disposal of property, plant and equipment	(167,811)	(247,140)
Loss on disposal of property, plant and equipment	77,747	47,925
Loss on valuation of inventories	788,880	1,034,038
Gain on disposal of investments	(25,056)	(10,737)
Others	9,635	34,335
Total	₩ 17,996,969	₩ 21,907,443

(2) Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	**2019**	**2018**
Changes in assets and liabilities:		
Decrease in trade receivables	₩ 747,983	₩ 1,667,731
Decrease (increase) in other receivables	(104,210)	980,459
Decrease (increase) in advance payments	(152,627)	16,386
Decrease (increase) in long-term and short-term prepaid expenses	386,741	(263,272)
Increase in inventories	(2,332,910)	(3,149,586)
Decrease in trade payables	(1,175,012)	(639,687)
Decrease in long-term and short-term other payables	(1,321,087)	(2,975,268)
Increase (decrease) in advances received	60,562	(183,519)
Increase (decrease) in withholdings	(264,446)	59,821
Decrease in accrued expenses	(4,857,283)	(3,600,100)
Increase in provisions	1,934,686	1,548,783
Payment of post-employment benefits	(177,055)	(191,205)
Other	(512,853)	(1,611,966)
Total	₩ (7,767,511)	₩ (8,341,423)

(B) For the six months ended June 30, 2019, cash outflows from repayment of the principal (financial activities) and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 316,286 million and ₩ 49,456 million, respectively.